00588

Sri Lanka Institute of Information Technology

B.Sc. Honours Degree in Information Technology

Specialized in Information Technology

Final Examination
Year 3, Semester 2 (2022)

IT3090 – Business Management for IT

Duration: 2 Hours

November/December 2022

Instructions to Candidates:

- This paper has four (04) questions.
- Answer all questions in the booklet given.
- The total marks for the paper is 100.
- This paper contains five (05) pages, including the cover page.
- Electronic devices capable of storing and retrieving text, including mobile phones are not allowed.
- Calculators are allowed.

Question 1 **(25 Marks)**

Sphero is a startup gaming app development company. It is focused on connected toy technology. These apps are especially beneficial when it comes to learning, so most apps created by Sphero are for kids. The apps are connected with robotics and provide a truly incredible innovative experience. Sphero focuses less on entertainment and more on learning, so their toys encourage children to grasp coding from a very young age. Sphero is planning to commence its operations on the 1st of January 2023.

(a) Name four management functions.

(02 Marks)

(b) Sphero is seeking your help to develop a sales objective. Develop a Sales objective for Sphero which has SMART characteristics.

(07 Marks)

(c) Explain the best way to apply Maslow's hierarchy of needs theory to motivate the employees of Sphero.

(08 Marks)

(d) By analyzing the three leadership styles of Kert Levins which leadership approach would be most appropriate for Sphero is. Justify your answer.

(08 Marks)

Question 2 **(25 Marks)**

Cane Media (Pvt) Ltd is an established company and they have realized that its employee turnover rate has increased recently. Since few employees have left the organization, they are in need of new employees at present. In order to start the hiring process, they need to first go through recruitment.

(a) What is recruitment?

(02 Marks)

(b) Suggest four methods of recruitment Cane Media (Pvt) Ltd could use considering the given situation.

(06 Marks)

(c) Assuming you are the HR Manager of Cane Media (Pvt) Ltd, provide recommendations to retain the hired employees and reduce the employee turnover rate. Need to give reasons for each strategy recommendation you suggest.

(08 Marks)

(d) Employees are considered a unique resource of an organization. Do you agree? Justify your answer.

(09 Marks)

Question 3 **(25 Marks)**

(a) Explain the difference between current liabilities and long-term liabilities with relevant examples.

(05 Marks)

(b) Following are the accounting transactions relating to Mr. Gayan's business. Show the effect of them on the accounting equation. Tally the equation after entering all the transactions.

I. Commenced business with a Capital of Rs. 50,000/-.

II. Bought Machinery for cash Rs.10,000/-

III. Purchased goods for cash Rs.15,000/-

IV. Purchased goods from Amali on credit Rs.5,000/-

V. Paid to Amali Rs.2,000/- for the goods bought on a credit basis.

(10 Marks)

(c) Following is the Balance sheet of the 'Typical Business, Inc as at 31st December 2008 and 2009. You are required to **calculate and interpret** the results of the following ratios for both 2008 and 2009.

I. Current ratio

II. Gearing ratio

(10 Marks)

Typical Business, Inc.
Statement of Financial Condition
at December 31, 2008 and 2009
(Dollar amounts in thousands)

Assets	2008	2009
Cash	$2,275	$2,165
Accounts receivable	$2,150	$2,600
Inventory	$2,725	$3,450
Prepaid expenses	$525	$600
Current assets	$7,675	$8,815
Property, plant, and equipment	$11,175	$12,450
Accumulated depreciation	($5,640)	($6,415)
Net of depreciation	$5,535	$6,035
Total assets	$13,210	$14,850

Liabilities and Owners' Equity	2008	2009
Accounts payable	$840	$765
Accrued expenses payable	$750	$900
Income tax payable	$90	$115
Short-term notes payable	$2,150	$2,250
Current liabilities	$3,830	$4,030
Long-term notes payable	$3,850	$4,000
Owners' equity:		
Invested capital	$3,100	$3,250
Retained earnings	$2,630	$3,570
Total owners' equity	$5,730	$6,820
Total liabilities and owners' equity	$13,210	$14,850

Question 4 **(25 Marks)**

(a) If the demand and supply curve for computers is:
$D = 100 - 6P$, $S = 28 + 3P$
What is the quantity of computers bought and sold at equilibrium, where P is the price of computers?

(05 Marks)

(b) The demand for Good Z is determined by the price of Z (Pz), monthly income (Y), and the price of a related Good W. (Pw). Equation 1 below gives the demand for Good Z (Qz):
$Qz = 150 - 8Pz + 2Y - 15Pw$

When Y is \$50 and Pw is \$6, find the demand equation for Good Z in terms of the price for Z (Pz)

(10 Marks)

(c) Based on your understanding of Demand and Supply concepts answer the questions given below.

I. Drought has severely reduced beef supplies in beef-producing states, so consumers are turning to pork as a beef substitute. How would you depict this shift in the beef market in terms of supply and demand?

(2.5 Marks)

II. The price of Christmas trees rises in December, as does the number of trees sold. Is this a violation of the demand law?

(2.5 Marks)

III. Why do demand curves generally slope downward?

(2.5 Marks)

IV. Explain the difference between a change in quantity demanded and a change in demand.

(2.5 Marks)

End of the Question Paper